

bearish or long the strongest market if he is bullish, using technical analysis to time trade entry and position adjustments. Ramsey will score his best returns when he gets the fundamentals right, but even when he is wrong, his rigorous risk control keeps losses relatively small.

Ramsey's 11-year track record is better than that of many of the largest and best-known futures managers. He has never had a down year, and has been able to combine a solid 17.2 percent average annual compounded net return (25.7 percent gross) with relatively low volatility and moderate drawdowns. Return alone is a highly inadequate metric for a futures manager because it is so dependent on the exposure level chosen by the manager. Futures managers always use only a fraction of assets under management to meet margin requirements. Therefore, any futures manager can double returns by simply doubling exposure without any need for borrowing. High return could just as easily represent excessive risk-taking rather than manager skill. Consequently, in evaluating futures managers, the only meaningful metric is return/risk.² Ramsey achieved his returns with well below average risk statistics. The annualized standard deviation has been 11.7 percent, less than two-thirds of the net return level. The maximum drawdown has been less than 11 percent. Ramsey's Gain to Pain ratio is a very high 2.2. (See Appendix A for a detailed explanation of the Gain to Pain ratio.)

Ramsey is 53, but looks a decade younger. Clearly, if trading provides any stress, it certainly doesn't show. Ramsey was quite relaxed during our interview, as perhaps fitting for a manager domiciled on St. Croix. After the interview, we picked up my wife, Jo Ann, at the hotel, and Ramsey took us out to dinner at an incredibly good local restaurant (Bacchus—check it out if you are ever in Christiansted), which served the best sashimi dish I've ever had (presented on a block of salt) and had an extraordinary collection of Belgian beers.



When did you first become aware of markets?

I was a mechanical engineering student at the University of Missouri. My father had always pushed me to take some business classes. So, in my junior year, as an elective, I took an economics course. It changed my